

## Chapter 21

# HOW TO HANDLE THE COMING ENVIRONMENT

The outlook for the stock market and the economy currently communicated by the market's pattern has been anticipated in the general sense by every Wave Principle practitioner since R.N. Elliott. Bolton, Collins and Frost knew that when wave (V) topped out, a great bear market would be due, but in their times, that was an event far in the future. *Elliott Wave Principle* was the first book written as that day came close enough to address. It described the environment after the expected wave V bull market this way:

O.K., what next? Are we in for another 1929 to 1932 period of chaos? Situations of this nature that have happened over the last two hundred years usually have been followed by three or four years of chaotic conditions in the economy and the markets.

The investment-related conditions of the past few years have been serene compared to what is coming. The few hints of the approaching chaos have appeared in the context of a slowly curling tidal wave that has yet to break. The rate of debt growth was at the front of the curl when it stopped accelerating in 1986. In 1987, the bond/stock yield spread topped and the stock market crashed. From there followed the real estate downturn in the Northeast that rapidly spread across the country. Then came the fall in junk bonds, the collapse in coins, art and collectibles, the bear market in Japanese stocks, and a slowdown in the overall rate of economic growth. More recently came the drops in utility stocks, high grade bonds, and the advance-decline line. Many of the markets that slipped early are in a "wave two" rebound, joining in the overall culmination in the upward force of the tidal wave. The irony is that the stock market, which was near the front of the curl, is also at the rear of the curl, as illustrated in Figure 21-1. The last of the upward energy in the tidal wave, which is concentrated in the major stock averages, prices for goods, and aggregate economic figures, will soon succumb to the force of the downward curl. This spacing out of the tops, crashes and partial recoveries among all the investment markets reflects a